2. Current Deposits

This account is suitable for business institutions. Individuals too can open this account. A higher minimum balance should be kept in this account. If not penal interest is charged. No interest is paid for the balance in this account. Some banks have started offering interest on these account balances. Banks may collect bank charges on this account. Overdraft (short term unsecured loan) facility is available to current account customers. There is no limitation on deposit of cheques or withdrawals from this account. Credit worthiness of current account business customers are shared among banks.

B. Time Deposits

They include fixed deposits and recurring deposits which are repayable after a period.

1. Fixed Deposits (FD)

Certain amount is deposited for a fixed period for a fixed rate of interest. FDR (fixed deposit receipt) is given to the depositor. Rate of interest is higher than savings account. On the date of maturity the principal along with interest for the fixed period is paid. A customer can obtain loan by depositing FDR. Pre-mature withdrawal of cash is also allowed for payment of penal charges and it carries no interest. Partial withdrawal also allowed. Fixed deposit period can be 1 month to 10 years. FD is also called term deposit

2. Recurring Deposits (RD)

Certain sum is deposited into the account every month for one year or five years or the agreed period. Interest rate is more than savings deposits and almost equal to fixed deposits. At the end of the period the deposited amounts along with interest are returned to the customer. Premature closing is allowed with a charge or deduction. It is ideal for persons having regular income to save and receive a lump sum. Any institution can open RD account. Minors or students also can open this account. Loan against this deposit is also provided by some banks.

Know Your Customer (KYC) Norms

KYC means "Know Your Customer". It is the general rule to be followed by banks to get information regarding the identity and address of the customers. This rule helps to ensure that banks' services are not misused. The KYC process is to be completed while opening accounts. These details should be updated periodically. A person willing to open a bank account, should submit a 'proof of identity and proof of address' together with a recent photograph.

Six documents have been notified by the Government of India as 'Officially Valid Documents' (OVDs) for the proof of identity. They are Passport, Driving Licence, Voters' Identity Card, PAN Card, Aadhar Card issued by UIDAI and NREGA Job Card. The person should submit any one of these documents as proof of identity. If such documents also contain his/her address details, then it will be accepted as 'proof of address'. If not, then another officially valid document which contains address details need to be submitted.

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